

11.7 STRANGLE STRATEGY



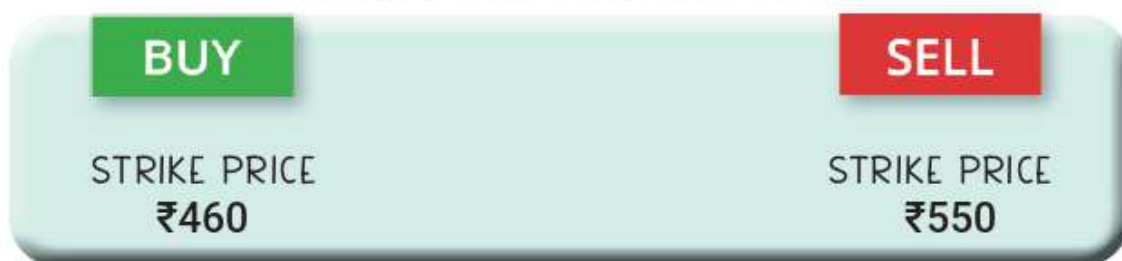
Explainer Video

Strangle strategies are quite similar to straddle strategies. The only difference is that in a straddle strategy, we buy/sell two options at the same strike price. While in a strangle strategy, we buy/sell two options at different strike prices.

STRADDLE STRATEGY



STRANGLE STRATEGY



We have two kinds of option strangle strategy. One is Long Strangle Strategy and the position opposite to it is Short Strangle Strategy.

LONG STRANGLE STRATEGY

SHORT STRANGLE STRATEGY

